

Resonance Eduventures has already diversified to offer coaching for the Central Universities Entrance Test (CUET) and for streams like chartered accountancy, while ALLEN Career Institute launched its first coaching centre for the civil services examination in Jaipur on September 6.

In a parallel development, well-known names from the offline coaching space are adopting online modes, which often requires them to modify their business model. As a result, students have more choices and sometimes get major discounts in fees, though there is hardly any difference in the quality or methodology of teaching among the available options. The coaching centres aim to grab as big a share of the pie as possible.

And it is a huge pie by all accounts, with at least a million students competing for admission to IITs, NITs, AIIMS and other major engineering and medical institutes. An aspirant spends Rs 1 lakh a year on an average as coaching fees, and an equal amount, if not more, on boarding, lodging and transport. It's thus a market worth Rs 20,000 crore, of which around one-fifth is based in Kota and another one-fifth in centres elsewhere run by institutes headquartered in Kota.

Among the big names venturing into the online space is ALLEN Career Institute, which had a turnover of Rs 1,700 crore in 2019. Naveen Maheshwari, one of the four brothers who own ALLEN, says they had to rush to change it from a partnership firm to a private limited company this June so as to go ahead with a deal with Bodhi Tree Systems, an educational technology company, to set up its digital arm. ALLEN retains control of its offline teaching, with 42 study centres, 130 classrooms, 140,000 students across India and 10,000 faculty members. The deal with Bodhi Tree will help it meet its aim of taking the number of students to half a million across the globe, extending its coaching programmes to examinations in some other countries and working on various online models that best suit students in different countries. Sources indicate that ALLEN will have 36 per cent share and intends to invest Rs 300 crore in its digital arm to begin with, while Bodhi Tree can spend Rs 4,500 crore over the years. Maheshwari refuses to confirm the size of the investment and details of the deal with Bodhi Tree, but says the entire exercise will include acquisitions of smaller coaching centres, making major inroads into places like Delhi-NCR, where they intend to open 11 offline centres in a year, and involving reputed foreign universities.

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ALLEN has adopted a model different from BYJU'S acquisition of Aakash Educational Services Limited (AESL) last year. AESL, which primarily ran offline classes, doesn't seem to have been impacted much in terms of attracting more students than before the acquisition. Aakash-BYJU'S did not respond to INDIA TODAY's queries despite assuring to do so over the past month.

In contrast, Unacademy has gone for a reverse ALLEN model as it expands from online specialisation to running offline classes on its own. It has gone for aggressive expansion, setting up new centres and picking up some of the best faculty around, including ALLEN's Ashish Arora, a well-known name in this industry. Some rivals accused Unacademy of poaching faculty mid-term, but gradually accepted it as part of the competition. The Unacademy spokesperson refused to divulge how much they intend to spend on offline centres and how much they are spending on online currently.

To attract more students, some new coaching institutes in Kota have reduced the fees drastically. Among them is Physicswallah, which moved from YouTube lessons to an online coaching app during the pandemic, and then entered the offline market this year. While many of its online subscribers opt for offline classes at other coaching centres, it offers offline courses at lower fee.

Another institute that has similarly ventured from the online space into offline allows students who have paid the fees at some other coaching centre to join its classes by paying just Rs 5,000. "I joined the new centre for Rs 5,000